

Amazon.com, Inc.
AMZN NASDAQ

Buy \$276.58 ▲ 1.59% 12M Price Target \$310.00 52-Week Range \$196.00 – \$287.20

Market Cap
\$2.98T

AMZN: AI Euphoria Returns, But Bezos Just Dumped \$346M

WHAT HAPPENED

- Stock bounced +1.59% to \$276.58 after a three-day slide from \$284 — the "AI fears fade" narrative is back on. Translation: last week investors got nervous that Big Tech is borrowing heavily to fund AI data centers (Yahoo's chart today confirms this), and today they decided to stop worrying about it again. This is a sentiment trade, not a fundamentals trade.
- Bezos sold \$346M in stock on Aug 3 near the recent high of \$286. He does this on a schedule, but the timing — right at 52-week highs — is worth noting. He's not calling a top, but he's clearly not buying either.

WHY IT MATTERS

Here's what I'm reading between the lines: Amazon is sitting at 88% of its 52-week range with options traders piling into calls (put/call ratio of 0.50 means twice as many bullish bets as bearish ones). That's a crowded bullish trade — great for momentum, dangerous if anything cracks. The Jassy "trillion-dollar prediction" headline plus the WSJ AI security piece tells me management is aggressively marketing the AI story to justify the massive capex — roughly \$100B+ this year across the hyperscalers. The real question isn't whether AWS grows; it's whether the market keeps giving them credit for spending \$1 to eventually earn \$1.20, or starts demanding proof. Right now the market is giving credit. That can change fast.

POLICY & POLITICAL WATCH

Two things to watch: (1) The FTC's ongoing antitrust case against Amazon over marketplace practices is still grinding through the courts — a bad ruling could force structural changes to their third-party seller business, which is a huge profit engine. (2) Tariff policy on Chinese goods remains the swing factor for the retail side — Amazon's third-party sellers source heavily from China, so any escalation squeezes their take-rate. On the friendly side, federal AI infrastructure spending and the CHIPS Act tailwinds continue to benefit AWS as government agencies migrate to cloud — that's a multi-year tailwind that isn't going away regardless of who's in charge.

IS IT EXPENSIVE?

At ~\$2.98T market cap and roughly 40x forward earnings, you're paying \$40 for every \$1 of profit Amazon is expected to make next year. That's expensive versus the S&P at ~22x, but cheaper than pure-play AI names trading at 50-70x. The justification: AWS is growing ~19% with 35%+ margins, and retail is finally throwing off real cash. Fair, not cheap — meaning the easy money has been made and from here you need earnings to actually deliver.

Key Data

Price (USD)	\$276.58
12M Price Target	\$310.00
Upside / (Downside)	+12.1%
Market Cap	\$2.98T
FY2026E Revenue	\$720M
FY2027E Revenue	\$795M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	40.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$295.00	\$282.00	\$260.00
6 Months	\$320.00	\$295.00	\$250.00
1 Year	\$340.00	\$310.00	\$240.00
2 Years	\$400.00	\$350.00	\$230.00
5 Years	\$550.00	\$450.00	\$275.00
10 Years	\$900.00	\$650.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+7% in 5 days) and Consumer Discretionary (+2.9%) — both AMZN home sectors — are ripping as the "AI is real, keep buying" narrative reasserts itself. Materials and Industrials also strong, which suggests broader risk-on, not just tech.

COOLING OFF: Healthcare barely positive and Real Estate slightly negative — defensive sectors are getting left behind, classic risk-on rotation.

ROTATION WATCH: Money is flowing back into mega-cap tech after last week's brief scare. The catalyst was earnings season confirming AI demand is real and monetizable — that's the tailwind lifting AMZN.

RELATED PLAY: If you believe the AI capex story, the picks-and-shovels beneath the hyperscalers keep working — data center REITs (EQIX, DLR), power/utilities feeding data centers, and semiconductor equipment names all benefit from the same spend.

WHO'S WINNING IN THIS SPACE?

- **SHOP** (Shopify): The 24/7 Wall St. piece today flags a blowout quarter — e-commerce is not dead, and Shopify's growth is coming from small merchants that also sell on Amazon. Not really a threat, more a signal that online retail is healthy.
- **NVDA** (Nvidia): Still the AI kingmaker — every dollar AMZN spends on AI infrastructure flows partly to NVDA. If NVDA is running, AMZN's AWS demand story stays intact.

AMZN CONTEXT: AMZN is participating in the Big Tech rally but not leading it — it's up while some peers are up more. That tells me it's a "safe" AI play right now, less speculative than pure AI names, more of a core holding. Fine for compounding, not the highest-beta way to play the theme.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid Buy, not a table-pound. Story is right, valuation is full, and insiders are selling not buying.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. The business is durable and the AI optionality is real, but I wouldn't chase at 88% of the 52-week range.

ENTRY POINTS: I'd wait for pullbacks to \$260-270. Any macro scare or capex-worry day gets you a better entry — those days will come.

TIME HORIZON: 12-24 months, waiting for AWS to show sustained 20%+ growth with AI-driven margin expansion. That's the catalyst that gets us to \$310+.

WHEN TO BAIL: AWS growth decelerates below 15% for two quarters, or the market starts punishing AI capex broadly (multiple compression across the group), or a serious antitrust ruling drops.

HEDGING: Simplest hedge — buy a put option ~10% below current price expiring 6 months out. Think of it as insurance: costs a small premium, protects you if the whole AI trade unwinds. Or just size the position smaller and hold more cash.